

Settlement Memorandum -- IRS Appeals Conference FY2021-20

Case: IRS Appeals #2025-LBI-AMX-0091 | Tax Years: 2021-2022 | Settlement Date: 2025-11-01 | Amount: \$892M resolved

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1. Settlement Summary

On November 1, 2025, American Express Company reached a comprehensive settlement with IRS Appeals resolving all issues under examination for tax years 2021-2022. The settlement resolves \$892M in proposed adjustments, resulting in a net cash payment of \$156M (including interest) and a \$340M reduction in uncertain tax position reserves.

This settlement closes the 2021-2022 examination cycle and positions AMEX favorably for the 2023 examination currently in progress.

2. Issues Resolved

Issue 1 -- Transfer Pricing (Intercompany Services): Proposed adjustment of \$415M. Settled at 35% of proposed amount (\$145M). The settlement establishes an agreed-upon profit split methodology for future years, reducing future controversy risk.

Issue 2 -- Foreign Tax Credits (Timing): Proposed adjustment of \$228M. Settled at 50% of proposed amount (\$114M). The settlement confirms AMEX's credit versus deduction election methodology for foreign withholding taxes.

Issue 3 -- Capitalization vs. Expense (Software): Proposed adjustment of \$167M. Conceded by IRS (settled at \$0). AMEX's treatment of cloud computing costs as currently deductible under Rev. Proc. 2000-50 was accepted.

Issue 4 -- State Tax Deductions: Proposed adjustment of \$82M. Settled at 75% of proposed amount (\$62M). Technical dispute over timing of state tax accruals.

3. Financial Impact

The settlement results in: (a) cash tax payment of \$156M (including \$23M interest), (b) reduction of uncertain tax position reserves by \$340M, (c) effective tax rate benefit of 1.2 percentage points in Q4 2025, (d) avoidance of potential penalties of \$45M that were proposed in the RAR.

The Tax Reserve Committee has approved the release of reserves and the financial impact will be reflected in Q4 2025 financial statements.